Notes

The notes to the accounts are even more important than the schedules because it is here that very important information relating to the company is stated. Notes can effectively be divided into:

1. Accounting Policies,
2. Contingent Liabilities, and
3. Others.

Accounting Policies

All companies follow certain accounting principles and these may differ from those of other entities. As a consequence, the profit earned might differ. Companies have also been known to change (normally increase) their profit by changing the accounting policies. For instance, Tata Iron and Steel Company's Annual Report for 1991-92 stated among other things, "There has been a change in the method of accounting relating to interest on borrowings used for capital expenditure. While such interest was fully written off in the previous years, interest charges incurred during the year have been capitalised for the period up to the date from which the assets have been put to use. Accordingly, expenditure transferred to capital account includes an amount of Rs. 46.63 crore towards interest capitalised. The profit before taxes for the year after the consequential adjustments of depreciation of Rs. 0.12 crore is therefore higher by Rs. 46.51 crore than what it would have been had the previous basis been followed". This means that by changing an accounting policy, TISCO was able to increase its income by Rs. 46 crore. There could be similar notes on other items in the financial statements.

The accounting policies normally detailed in the notes relate to:

1. How sales are accounted.
2. What the research and development costs are.
3. How the gratuity liability is expensed.
4. How fixed assets are valued.